

investment has brought him absolutely no income for more than a decade, and it has been necessary for him to pay annual property taxes on the acreage. In addition, he has spent sizable amounts in efforts to attract buyers for the property—all to no avail. He has already suffered considerable financial loss. He will continue to lose money on his investment unless he can sell the land, for there is no indication that the city's northern suburbs will ever find favor with homeowners or industrial firms.

218

In short, a prospective investor must always bear in mind that while real estate can be a highly profitable form of investment, it can also prove quite risky. Often there are many variable factors which affect the value of a property, and these factors are not always obvious even to experienced eyes. It is sometimes difficult to appraise the value of a given property accurately, and mistakes in appraisal can be costly. Another potential drawback to investing heavily in real estate is that an individual who ties a large amount of his capital up in real property and then has a sudden need for cash may well find it difficult to sell and realize cash quickly without incurring considerable losses.

In real estate, as in the stock market, it is the intelligent, patient investor who is most likely to make money in the long run. The real estate speculator, like his stock market counterpart, may make some short-term profits, but he takes much greater chances and his profits will never be anywhere near those of the investor.

There are two kinds of real estate investors. The first includes those who buy at very low prices before an upward trend begins and hold onto their properties for many years, patiently waiting for values to rise to high levels. They may buy undeveloped land with, possibly, a view to subdividing it, or they may purchase income property which they hope will eventually increase in value, even while it produces regular returns on their invested capital. The second type of real estate investor buys soon after a real estate boom has already begun. He pays more for a property than investors in the first category because prices are already on the way up when he gets into the market. On the other hand, he immobilizes his capital for much shorter periods.